

JIRANNA HEALTHCARE**INTERNAL MEMORANDUM**

TO: Board of Directors

FROM: Administrator, Jiranna Healthcare

DATE: February 13, 2026.

SUBJECT: Strategic Financial Review and Capital Project Recommendation, Capital Nurse triage System Implementation, FY21 Mid-Year Variance Analysis, and Capital Project Recommendation

EXECUTIVE SUMMARY

This analysis examines how Jiranna's healthcare has been financially over the past five years. By considering profitability, long-term solvency, and liquidity, it is possible to determine whether the centralized nurse triage project should be accepted or rejected. Over the period, the operational expenses of the company have transitioned from 27,000 dollars in 2017 to 799,000 dollars in 2021, indicating there has been an improvement in the efficiency of service delivery. The net profit margin has indicated a constant increase over the five years, and the facility has maintained a consistent improvement in profit generation from its assets. Following the analysis, the facility can be in a position to sustain the project. Having a project that enables Jiranna Healthcare to provide timely services to its clients through a centralized nurse triage line is very thoughtful, not only in service provision but also in reducing non-emergent visits to emergency rooms. The analysis proves that the project is highly profitable and yields higher returns in terms of profit and interest for Healthcare, supported by the findings and reasoning in the report. However, the threshold of the time required for the project to be acceptable is not met. A well-explained financial report for the outpatient department at mid-year 2021 has been provided. The ability to reinvest is evaluated by comparing the original budget to the actual performance and assessing the financial stability of the facility. The report aims at comparing original profit goals to the 2021 fiscal year projections, the outpatient service lines that are over budget, two actions to be taken at the mid-year point, if I oversee a fee-for-service healthcare organization, and two actions I will recommend at the mid-year point, if I oversee a capitated healthcare organization.

BODY

Part 1: Strategic Financial Review And Capital Project Recommendation

Profitability

With a steady increase in the net profit margin, the facility has recorded an improvement of 9.53% in 2021 from 2.1 % in 2017. Over this period, the net profit margin does not fluctuate, but the consistency of these improvements has been recorded year after year. From this, it is clear that the facility has been improving its operating cost relative to revenues even as patient volumes and revenues also grow. Return on net worth has recorded a shift, comparing the 2021 results to the 2017 results. Consistent and optimal resource utilization is the main driver of this improvement since the equity multiplier remained stable for the five years, indicating that the facility does not fund its operations through debt. With an income operating growth from 27,000 to 799,000 during the five years, the operations of the facility are highly profitable. The asset turnover ratio of 1.16 dollars has been consistent for the five years, indicating that the facility has been generating an income of 1.16 dollars from an investment of 1 dollar. In addition, the net income of the facility has grown from 181 dollars in 2017 to 1089 dollars in 2021, which is evidence that the operations of the facility have greatly improved.

From the profitability analysis, it is clear that the facility is no longer operating to survive, but growth has been embraced through efficient operations, and it is therefore possible to sustain the additional costs that come with accepting the nurse triage project.

Cash Flow and Liquidity

Evaluating the liquidity of Jiranna Healthcare is a very important factor in determining the ability of the healthcare to raise the required starting capital of 420,000 dollars if the project is to be accepted. Liquidity position has improved over the past five years, which supports that the facility can be in a position to fund the operations. Days cash on hand have improved from 27.33 days in 2017 to 55.85 days in 2021. This tells us that even with the renovations and equipment burden, the facility is in a position to operate for almost two months without straining to sustain the day-to-day operations. The current ratio has also improved from 2.82 dollars in 2017 to 4.66 dollars in 2021. This value is a good measure for such a facility in that for every one dollar of the current liabilities, there is 4.66 dollars' worth of assets. A surplus of current assets over current liabilities has grown from 1180 dollars in 2017 to 2021 dollars in 2021, which ensures that the cost of starting the project can be funded internally by the facility. This liquidity is strong enough to pay for the equipment and the workers for the first few months while at the same time running the operations effectively.

Long-term Solvency

In addition to evaluating how the project can be initiated, long-term commitment is considered to make sure that the operations don't fail. The consistent debt ratio of about 0.45 suggests that not only have the facility's assets grown, but the growth has not been fueled by leverage. An improvement in times interest earned from 1.19 in 2017 to 5.04 in 2021 provides a safety margin for the creditors, meaning that the facility can pay its annual interest five times over using the operational income. Future downturns have been covered by the assets' growth from 4300 dollars in 2017 to 5413 dollars in 2021.

Table 1: Jiranna Healthcare Five-Year Financial Ratio Summary (2017–2021).

Jiranna Financials	2017	2018	2019	2020	2021
Total Net Sales	8,609	9,233	10,079	10,417	11,430
Operating Expenses	8,582	9,143	9,673	9,821	10,631
Operating Income	27	90	406	596	799
Net Income	181.00	285.00	651.00	816.00	1089.00
Profitability	2017	2018	2019	2020	2021
Total Profit Margin	2.10%	3.09%	6.46%	7.83%	9.53%
Total Assets	7,350	7,952	8,476	9,145	9,847
Asset Turnover	1.17	1.16	1.19	1.14	1.16
Return on Assets	0.02	0.04	0.08	0.09	0.11
Return on Net Worth	4%	6%	14%	16%	20%
Liquidity Analysis	2017	2018	2019	2020	2021
Current Ratio	2.82	3.26	3.32	3.89	4.66
Days Cash on Hand	27.33	42.93	48.04	52.05	55.85
Working Capital	1,180	1,325	1,521	1,928	2,503
Longterm Solvency	2017	2018	2019	2020	2021
Debt Ratio	0.41	0.45	0.47	0.46	0.45
Times Interest Earned	0.19	0.62	2.64	3.33	4.04
DuPont	2017	2018	2019	2020	2021
Net Profit Margin	0.02	0.03	0.06	0.08	0.10
Asset Turnover	1.17	1.16	1.19	1.14	1.16
Equity Multiplier	1.71	1.73	1.87	1.84	1.82
DuPont Analysis	0.04	0.06	0.14	0.16	0.20

Conclusion

Analyzing the five-year performance, the nurse triage project is recommendable since the healthcare has transitioned to an efficient healthcare provider in 2021 from a break-even entity in 2017. From the current surplus of working capital, the facility is in a position to manage the requirements of the proposed project.

Part 2: Capital Nurse Triage System Implementation

NPV Value

Net Present Value is the difference between the net flow of inflows and the net flow of outflows. From the Excel table, the net present value results in a positive value of 38,468.55 dollars. The project, therefore, allows the healthcare to recover the cost of the initial investment and pay back the 11% of the cost of money and still be left with a profit of 38,468 dollars. From this value, the project is acceptable.

IRR and MIRR Value

The internal rate of return refers to the growth that would be generated by a project. From our analysis, an IRR value of 14% is above the cost of capital of 11%. This means that if Jiranna were to proceed with the proposed project, it would generate more income than the amount used to fund the project initially. We can therefore support the acceptance of the project. The modified IRR value is also higher than the initial cost of capital (12.96%). In other words, re-investing our returns in a standard policy that yields an interest rate of 11%, the returns are still higher than the initial cost.

Payback period

It is the time the project will fully recover. The ~~playbackperiod~~ payback period for the project is 3.64 years. A threshold of 3.5 is not met for the project to be accepted. In addition, the discounted payback period fails as it stretches the period to 4.61 years. Since the policy for Jirannah Healthcare rejects any project that exceeds 3.5 years to pay ourselves at a rate of 11%, the project fails the policy and should therefore be rejected.

Table 1: *Table 1: Financial Evaluation for Nurse Triage Line Project*

	Year	Year 1	Year 2	Year 3	Year 4	Year 5
Nurse Triage Salaries	\$ 523,800	\$ 549,990	\$ 577,490	\$ 606,364	\$ 636,682	\$ 668,516
Forecasted ER Cost Reductions	\$ 400,000	\$ 800,000	\$ 848,000	\$ 900,577	\$ 955,512	\$1,013,798
New IT Specialist's Salary	\$ 150,000	\$ 154,500	\$ 159,135	\$ 163,909	\$ 168,826	\$ 173,891
Costs of Facility Renovations	\$ 30,000	\$ -	\$ -	\$ -	\$ -	\$ -
Necessary Capital Equipment Purchases	\$ 117,000	\$ 3,510	\$ 3,510	\$ 3,510	\$ 3,510	\$ 3,510
Net Cash Flow:	-420800	92000	107865	126794	146494	167881
Present Values of Net Cash Flows:	-420800.00	82882.88	87545.65	92710.68	96500.14	99629.20
Net Present Value:	\$38,468.55 PASS					
Internal Rate of Return (IRR):	14% PASS					
Modified Internal Rate of Return (MIRR):	13%					
Payback Period (# years):	3.64 FAIL					
Discounted Payback Period (# years):	4.61 FAIL					

Conclusion

Despite the rate of return and the profit of the project supporting the project, the crucial rule of having 3.5 years rules out the project. With a strict policy of accepting every project that takes more than 3.5 years to pay back the initial capital, I do not recommend having the project implemented, even though the project would have been beneficial to us. It is therefore advisable to have the project rejected.

Part 3: FY21 Mid-Year Variance Analysis And Capital Project Recommendation

Table 1: Jiranna Healthcare projected profit evaluation for five years.

Jiranna Healthcare				
Projected Profit				
	Projected (FY21)	Projected (mid-year)	Actual (mid-year)	Revised FY21 Projection
Revenue	\$ 50,155,711	\$ 25,077,856	\$ 24,224,308	\$ 48,448,616
Expenses	\$ 48,069,860	\$ 24,034,930	\$ 23,201,056	\$ 46,402,112
Profit	\$ 2,085,851	\$ 1,042,926	\$ 1,023,252	\$ 2,046,504

Jiranna's Healthcare projected profit in 2021 was 2,085,851 dollars, with an estimated projected mid-year profit of 1,042,926 dollars. Comparing the results to the actual performance of the facility of 1,023,252 dollars, there is an unfavorable variation since the actual performance is less than the projected performance in the middle of the year. However, since the goal was missed by only 2%, it is possible to implement the project since the institution has remained highly profitable throughout the years, and such a project is affordable.

Expense Variance evaluation

Table 2: Jirani Healthcare Expense variance table

Jiranna Healthcare				
FY21 YTD Expense Variances				
	I	II	III	IV
Outpatient Product Line	FY21 YTD Budget	Actual OP Expenses (FY21 YTD)	Expense Variance (II-I)	Favorable / Unfavorable
CARDIOLOGY	\$ 1,965,852	\$ 1,144,085	(821,767)	Favorable
ENDOCRINOLOGY	\$ 662,060	\$ 650,444	(11,615)	Favorable
FAMILY MED	\$ 3,368,594	\$ 3,690,656	322,062	Unfavorable
GYN	\$ 634,474	\$ 672,136	37,663	Unfavorable
ENT	\$ 2,101,178	\$ 2,443,635	342,457	Unfavorable
MENTAL HEALTH	\$ 357,142	\$ 389,128	31,987	Unfavorable
NEWBORN	\$ 2,128,463	\$ 2,514,664	386,201	Unfavorable
OB	\$ 4,358,558	\$ 5,040,943	682,386	Unfavorable
ORTHO	\$ 1,832,279	\$ 1,591,266	(241,013)	Favorable
PEDIATRICS	\$ 377,421	\$ 418,066	40,645	Unfavorable
PODIATRY	\$ 6,248,912	\$ 4,646,031	(1,602,881)	Favorable
Total Outpatient Expenses	\$ 24,034,930	\$ 23,201,056	-\$ 833,874	Favorable

Some departments in ~~Some departments in the facility have shown unfavourable~~ expenses. Unfavorable trends are brought about by higher patientspatient volume, with some departments recording favouablefavorable revenue. Operations are therefore positive rather than poor management of finances. In addition, the massive savings in the Podiatry department indicate that the management has scaled down the costs of operation, and this advantage counters the revenue loss incurred. Generally, our facility has managed to save a total of 833,000 dollars, and the ability to support the Nurse Triage system is manageable from the records of disciplined financial management, even with fluctuating revenues.

Some departments in ~~Some departments in the facility have shown unfavourable expenses. the facility has shown unfavorable expenses in some departments. These trends are brought about by higher patientspatient volume, with departments like OB, Newborn, and family med recording favouablefavorable revenue. Operations are therefore positive rather than poor management of finances. In addition, the massive savings in the Podiatry department indicate that the management has scaled down costs of operation, and this advantage counters the revenue loss~~

~~incurred by the facility. Generally, our facility has managed to save a total of 833,000 dollars, the ability to support the Nurse Triage system is~~ Profit Variances

By mid-year, we managed to attain a profit that was less than the annual goal by just 2%.

Estimating the annual profit results greatly attains the annual goal. Our management has managed to counter revenue losses incurred by reducing total expenses by 833,874 dollars.

Table 4: Jiranna Healthcare profit Variances table

Jiranna Healthcare				
Profit Variances				
	I	II	III	IV
Outpatient Product Line	FY21 YTD Budget Profit	Actual OP Profit (FY21 YTD)	Profit Variance (II-I)	F/U
CARDIOLOGY	105,338	61,305	(44,033)	U
ENDOCRINOLOGY	33,757	33,164	(592)	U
FAMILY MED	125,469	137,464	11,996	F
GYN	22,518	23,855	1,337	F
ENT	74,678	86,849	12,171	F
MENTAL HEALTH	(17,372)	(18,928)	(1,556)	U
NEWBORN	442,428	522,705	80,277	F
OB	(70,463)	(81,495)	(11,032)	U
ORTHO	87,281	75,800	(11,481)	U
PEDIATRICS	12,687	14,053	1,366	F
PODIATRY	226,607	168,481	(58,126)	U
Total Profit	1,042,926	1,023,252	(19,673)	U

Conclusion

There is a very small variation in total profit achieved by the facility despite some departments recording huge changes. Having family med, ENT, and newborn services attaining mid-year profits favorably, outpatient services operate and run very well even under harsh conditions. The hospital has the proper financial foundation needed to fund the Nurse triage project. I will

recommend increasing marketing and access for Newborn and OB services and Efficiency Implementation through the nurse triage project for a fee-for-service provision. For a capitated healthcare, I recommend standardizing healthcare services to Reduce Variable Costs and the Nurse Triage project, specifically as a tool to divert patients away from high-cost settings.